

Calendar Line 1

Case Name: Lee Boi Lim et al. v. Anavarathan Ayyaswamy et al.

Case No.: 25CV474179

Plaintiffs Lee Boi Lim and Tze Yang Hin (Plaintiffs) allege Defendants Anavarathan Ayyaswamy and Usha Bagavathy V. Subramanian (Defendants), and Doe defendants failed to disclose material defects with a home they sold to Plaintiffs. At issue is Defendants' amended demurrer to the first, fourth, fifth, and sixth causes of action in Plaintiff's complaint (Complaint).

The initial and still operative complaint alleges Plaintiffs own real property previously owned by Defendants. (Complaint, ¶¶ 1, 2.) Plaintiffs allege that "Defendants, as sellers in a real estate transaction...had a duty to the Plaintiffs, as good-faith purchasers of the Property, to honestly disclose known facts that materially affect the value or desirability of the Property to Plaintiffs." (*Id.* at ¶ 4.) Defendants' real estate agent provided Plaintiffs with a pest report on November 2, 2022, disclosing termites, water leakage, and fungus and deterioration damage in various areas of the home. (*Id.* at ¶ 14.) Defendants' real estate agent ordered a professional building inspection that occurred on November 2, 2022, which found water seepage in the kitchen faucet, improper installation of PVC piping, and leakage at the main at the exterior to the property. (*Id.* at ¶ 15.) Those 2022 reports are attached as exhibits to the Complaint, and were signed by plaintiffs in December 2022. (Complaint, exhs. E, F.) Plaintiffs allege that Defendants failed to disclose a number of material facts in the Real Estate Transfer Disclosure Statement (TDS) and Sellers' Property Questionnaire (SPQ) that they provided to Plaintiffs. (*Id.* at ¶¶ 16-18.)

Seven days after the pest and home inspection reports were completed, Defendants stated in the TDS and SPQ that they were not aware of: past or present problems with pests and/or pest remediation; issues and defects related to water intrusion, leakage; past or present defects in plumbing; fungus or mold related issues and defects; or structural issues and defects. (Complaint, ¶¶ 20, 21.) Defendants also stated that both the 2022 Pest Inspection and 2022 Home Inspection were not a substitute for the declarations made in the TDS and SPQ. (*Id.* at ¶ 21.) Plaintiffs allege they entered the purchase agreement in reliance on the information provided by the Defendants in the TDS and SPQ. (*Id.* at ¶ 22.) After taking possession of the property, Plaintiffs noticed water leaks coming into the Property in several areas, including: the garage, two bedrooms, a utility meter closet, numerous windows, the chimney, the roof, and a shut-off valve in laundry room. (*Id.* at ¶ 24.) Plaintiffs also discovered areas with severe mold contamination, including the Property's heating, ventilation, and air conditioning (HVAC) system. (*Id.* at ¶ 25.) Plaintiffs contracted with Mold Inspection Science, Inc. to conduct a mold inspection report, which found high levels of mold on the property. (*Id.* at ¶ 28.) Plaintiffs allege that dangerously high levels of mycotoxins in their blood have caused them severe physical, neurological, and emotional harm. (*Id.* at ¶ 29.) Plaintiffs allege that their minor son has suffered severe neurological harm, and that a diagnosis by Sutter Health Medical found that Plaintiffs' minor son has been diagnosed with self-injurious behaviors likely aggravated by the environmental mold. (*Id.* at ¶ 31.) Plaintiffs allege that they incurred \$196,888.79 in costs to repair the damage to the Property caused by the undisclosed water intrusion and mold. They anticipate further repairs costing \$190,000. (*Id.* at ¶¶ 30, 39.)

The Complaint alleges causes of action for: (1) fraud (intentional misrepresentation, concealment, and deceit), (2) breach of contract, (3) negligence, (4) negligent infliction of

emotional distress, (5) breach of implied covenant of good faith and fair dealing, and (6) intentional infliction of emotional distress. Defendants' amended demurrer challenges the first, fourth, fifth, and sixth causes of action in the Complaint. Plaintiffs oppose.

DEMURRER

Legal Standard

The function of a demurrer is to test the legal sufficiency of a pleading. (*Trs. Of Capital Wholesale Elec. Etc. Fund v. Shearson Lehman Bros.* (1990) 221 Cal.App.3d 617, 621.) Consequently, "[a] demurrer reaches only to the contents of the pleading and such matters as may be considered under the doctrine of judicial notice." (*Mathews v. Becerra* (2019) 8 Cal.5th 756, 762, internal citations and quotations omitted; Code Civ. Proc., § 430.30, subd. (a).) "It is not the ordinary function of a demurrer to test the truth of the plaintiff's allegations or the accuracy with which he describes the defendant's conduct. ... Thus, ... the facts alleged in the pleading are deemed to be true, however improbable they may be." (*Align Technology, Inc. v. Tran* (2009) 179 Cal.App.4th 949, 958, internal citations and quotations omitted.)

In ruling on a demurrer, the allegations of the complaint must be liberally construed, with a view to substantial justice between the parties. (*Glennen v. Allergan, Inc.* (2016) 247 Cal.App.4th 1, 6.) Though a "demurrer admits all facts properly pleaded, [it does] not [admit] contentions, deductions or conclusions of law or fact." (*George v. Automobile Club of Southern California* (2011) 201 Cal.App.4th 1112, 1120.)

Discussion

First Cause of Action: Fraud, Intentional Misrepresentation, Concealment, and Deceit

Defendants demur to the first cause of action for fraud, intentional misrepresentation, concealment, and deceit. Defendants argue the first cause of action fails to state facts with the requisite particularity and does not allege a duty to disclose, intentional suppression, or reliance sufficient to constitute a cause of action. (Demurrer, pp. 10:3-12:19.)

The elements of a cause of action for fraud based on concealment are: (1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage. (*Kaldenbach v. Mutual of Omaha Life Ins. Co.* (2009) 178 Cal.App.4th 830, 850.)

Civil Code section 1572 prohibits a party to a contract from engaging in actual fraud by "act[ing] with intent to deceive another party thereto, or to induce him to enter into the contract." (Civ. Code, § 1572.) Civil Code section 1709 states that fraudulent deceit occurs when: "[o]ne...willfully deceives another with intent to induce him to alter his position to his injury or risk." (Civ. Code, § 1709.)

Plaintiffs allege that Defendants intentionally made fraudulent representations to Plaintiffs by stating in the TDS and SPQ that they were unaware of any defects in the home. Plaintiffs maintain that Defendants' statements in the TDS and SPQ that they were unaware of any past or present defects in the home intentionally concealed and fraudulently suppressed information. Plaintiffs allege that Defendants' statements were false because the real estate agent acting on behalf of Defendants ordered a pest inspection report and a home inspection report, which listed a number of defects in the home. (Complaint, ¶¶ 51, 52.) Plaintiffs allege Defendants knew that their statements in the TDS and SPQ were false because they had received those reports and were thus on notice of defects in the home. (Complaint, ¶ 51.) In the SPQ, Defendants declared that they were not aware of any past or present problems with pests, water, water intrusion, mold, or past repairs of pest infections on the property. (Complaint, ¶ 51.) Plaintiffs allege that two pest reports, one from 2022 and one from 2004, found termites in various areas of the home, and that a 2022 home inspection report found water seepage in the kitchen faucet, improper installation of PVC piping, and evidence of present leakage exterior to the property, among other issues. (Complaint, ¶¶ 15, 52.) Plaintiffs allege that the Defendants' "intentional concealment is further exacerbated by the comments from the 2004 Pest Inspector whereby the 2004 Pest inspector notes the following: 'This structure was fumigated by others in 2001 for the control of drywood termites and it appear [*sic*] these pellets are from this previous infestation. In the presence of the inspector, the drywood termite pellets were removed by interested parties.'" (Complaint, ¶ 52.) Plaintiffs allege that because the only parties mentioned in the report are the inspector and Defendant Subramanian, the interested party who removed the pellets must have been Defendant Subramanian. (Complaint, ¶ 53.) Plaintiffs allege Defendants made other misrepresentations in the SPQ and TDS regarding shared walls and deed restrictions. (Complaint, ¶ 55.) Plaintiffs allege "that the Seller has experience in intentionally concealing material defects that reduce the Property's desirability and value, with regards to the inspection of their property" and has "demonstrated a repeated pattern of recklessly and carelessly suggesting facts that are not true." (Complaint, ¶¶ 53, 54.)

Plaintiffs' Complaint fails to state a cause of action for fraud against either Defendant. The Complaint does not adequately allege that either Defendant owed a duty to disclose to Plaintiff; that either Defendant acted with intent to induce Plaintiffs' reliance; or that Plaintiffs detrimentally relied on Defendants' statements. Plaintiffs cite Civil Code section 1102 to establish that Defendants had a statutory duty to disclose independent of a contractual duty to disclose. But that statute generally describes sellers' disclosure obligations, and Plaintiffs do not elaborate on how Defendants violated a statutory duty to disclose. (Complaint, ¶ 44; Civ. Code, § 1102, et seq.) The Complaint also fails to allege intent to induce reliance or reliance. The Complaint alleges that Defendants provided Plaintiffs with the 2022 pest inspection and home inspection reports before they entered into the sale contract. Plaintiffs thus had at least constructive knowledge of the contents of those reports. The Complaint attaches copies of those reports, which indicate not only that Plaintiffs received reports disclosing the same material facts they claim Defendants concealed, but also that Plaintiffs *signed* those reports. (Complaint, exhs. E and F.) Plaintiffs' allegation that Defendants intentionally concealed, misrepresented, or suppressed information to induce Plaintiffs' reliance is inconsistent with the allegations that Defendants provided Plaintiffs the 2022 reports.

Defendants also contend that the "Complaint does not allege how Defendants acquired knowledge of the alleged defects, when they acquired it, or what specific information they possessed." (Demurrer, p. 12:16-19.) But the 2004 and 2022 reports, along with related allegations, are sufficient to allege that Defendants had notice of past defects to the home such

that statements in the TDS and SPQ that Defendants were unaware of past defects could have been knowingly false. Defendants also challenge Plaintiffs' first cause of action on the basis that it insufficiently pleads punitive damages. (Demurrer, p. 4:4-19.) But a "demurrer cannot rightfully be sustained to part of a cause of action or to a particular type of damage or remedy." (*Kong v. City of Hawaiian Gardens Redevelopment Agency* (2002) 108 Cal.App.4th 1028, 1047 (*Kong*)). The court sustains Defendants' demurrer to Plaintiffs' first cause of action for fraud solely on the grounds articulated above.

A plaintiff bears the burden of proving an amendment would cure any defect identified on demurrer. (*Schifando v. City of Los Angeles* (2003) 31 Cal.4th 1074, 1081.) Plaintiffs' opposition failed to meet that burden. But because this is the first pleading challenge, the court will grant leave to amend.

Defendants' demurrer to Plaintiffs' first cause of action for fraud is SUSTAINED WITH LEAVE TO AMEND.

Fourth Cause of Action: Negligent Infliction of Emotional Distress

Defendants demur to fourth cause of action for negligent infliction of emotional distress, arguing that negligent infliction of emotional distress is not an independent cause of action. Defendants argue the Complaint fails to plead breach of a duty giving rise to tort liability; fails to allege facts sufficient to state a claim under either a bystander or direct victim theory; and does not adequately plead causation or legally cognizable emotional distress damages. (Demurrer, pp. 13:23-15:21.)

"Negligent infliction of emotional distress is not an independent tort, but the tort of *negligence*." (*Downey v. City of Riverside* (2024) 16 Cal.5th 539, 547, internal quotation marks and citations omitted.) "California courts have recognized a plaintiff's right to recover in negligence for serious emotional distress suffered as a result of witnessing injuries inflicted on a close relative." (*Id.* at p. 543.) Negligent infliction of emotional distress can thus be an independent cause of action. (See *Spates v. Dameron Hospital Assn.* (2003) 114 Cal.App.4th 208, 214 ["[A] cause of action to recover damages for negligently inflicted emotional distress will lie...in cases where a duty arising from a preexisting relationship is negligently breached."]; *Molien v. Kaiser Foundation Hospitals* (1980) 27 Cal.3d 916, 930 ["[w]e hold that a cause of action may be stated for the negligent infliction of serious emotional distress."].) "[P]laintiff must have suffered trauma from perceiving the injury-producing *event*, itself rather than on viewing or learning about the injurious *consequences* of [the defendant's] conduct." (*Downey v. City of Riverside, supra*, 16 Cal.5th at p. 559, internal citations and quotation marks omitted.) The "understanding perception of the injury-causing event is an essential component of [negligent infliction of emotional distress] recovery. In the case of an event which cannot be perceived, distress recovery is not allowed." (*Golstein v. Superior Court* (1990) 223 Cal.App.3d 1415, 1427 [rejecting petitioners' claim for negligent infliction of emotional distress where surviving parents observed medical treatment resulting in death of son because the fatal dosage was of radiation, which cannot be seen].)

The fourth cause of action does not adequately allege duty. The Complaint states that Defendants owed "a heightened duty of care beyond reasonableness, which requires honest disclosures to be made pursuant to Civ. Code § 1102." (Complaint, ¶ 72.) But as already discussed, Civil Code section 1102 generally describes sellers' disclosure obligations, and

Plaintiffs do not elaborate on how that statute, or any statute, establishes that Defendants had a duty to protect Plaintiffs from emotional distress. (Civ. Code, § 1102, et seq.)

The Complaint also fails to state facts sufficient to state a claim because the Complaint does not allege any sudden, traumatic, injury-producing event that Plaintiffs contemporaneously observed. The Complaint alleges that Plaintiffs suffered emotional distress upon learning that their son was severely injured by mold. (Complaint, ¶ 79.) But Plaintiffs allege that they experienced trauma “on viewing or learning about the injurious *consequences* of [the defendant’s] conduct,” not from perceiving an injury-producing event. (*Downey v. City of Riverside, supra*, 16 Cal.5th at p. 559, internal citations and quotation marks omitted.) And even if the Complaint alleged that the injury Plaintiffs’ son suffered caused Plaintiffs emotional distress, the allegations do not support a claim for negligent infliction of emotional distress because the injury of mold contamination, like radiation, cannot be perceived. The Complaint does not state facts sufficient to state a claim for negligent infliction of emotional distress.

Defendants’ demurrer also argues that Plaintiffs’ Complaint does not adequately allege facts to sustain a claim for negligent infliction of emotional distress under a direct victim theory. Plaintiffs’ Complaint alleges that they each directly experienced severe emotional distress due to Defendants’ conduct, but does not articulate specific facts or develop the points further. (Complaint, ¶ 48.)

Defendant’s demurrer to the Complaint’s fourth cause of action for negligent infliction of emotional distress is SUSTAINED WITH LEAVE TO AMEND.

Fifth Cause of Action: Breach of Implied Covenant of Good Faith and Fair Dealing

Defendants demur to the fifth cause of action for breach of implied covenant of good faith and fair dealing on the basis that the Complaint does not allege conduct separate from the Complaint’s claim for breach of contract. “The law implies a covenant of good faith and fair dealing in every contract. The covenant prevents one contracting party from unfairly frustrating the other’s right to the benefits of the agreement actually made.” (*Tuli v. Specialty Surgical Center of Thousand Oaks, LLC* (2024) 105 Cal.App.5th 997, 1020 (*Tuli*), internal citation omitted.)

Plaintiffs’ Complaint alleges that “Defendant breached the express term of the Purchase Agreement by failing to deliver to buyer fully completed disclosures and the disclosures that were delivered were full of fraudulent representations and therefore incomplete...[and] breached the implied covenant by holding those fraudulent representations out as true to the Plaintiffs who were dealing in good faith.” (Complaint, ¶ 86.) Plaintiffs further allege that “Defendant[s] acted in bad faith and unfair dealing by failing to disclose known defects.” (*Ibid.*)

Here, Plaintiffs’ Complaint fails to allege the “particular ways” in which Defendants “unfairly frustrated the goals and operation of its operating agreement.” (*Tuli, supra*, 105 Cal.App.5th at pp. 1020-1021.) The fifth cause of action alleges only that Defendants breached an express term of a contract and “breached the implied covenant by holding those fraudulent representations out as true to the Plaintiffs who were dealing in good faith.” (Complaint, ¶ 86.)

Plaintiffs fail to allege sufficient facts distinguishing their breach of implied covenant of good faith and fair dealing claim from their breach of contract claim.

Defendants' demurrer to Plaintiffs' fifth cause of action for breach of implied covenant of good faith and fair dealing is SUSTAINED WITH LEAVE TO AMEND.

Sixth Cause of Action: Intentional Infliction of Emotional Distress

Defendants demur to the sixth cause of action for intentional infliction of emotional distress, arguing that the Complaint fails to allege facts sufficient to find that Defendants' conduct was outrageous as a matter of law or that Defendants intended to cause, or recklessly disregarded the probability of, causing emotional distress. (Demurrer, pp. 17:19-18:27.)

To state a cause of action for intentional infliction of emotional distress a plaintiff must show: (1) outrageous conduct by the defendant; (2) the defendant's intention of causing or reckless disregard of the probability of causing emotional distress; (3) the plaintiff's suffering severe or extreme emotional distress; and (4) actual and proximate causation of the emotional distress by the defendant's outrageous conduct. (*Vasquez v. Franklin Management Real Estate Fund, Inc.* (2013) 222 Cal.App.4th 819, 833.) "In order to avoid a demurrer, the plaintiff must allege with great specificity the acts which he or she believes are so extreme as to exceed all bounds of that usually tolerated in a civilized community." (*Ibid.*, internal citation and quotation marks omitted.)

Plaintiffs' Complaint alleges that Defendants' "breach of contract, violation of the statutory duty to disclose material defects in the Property, combined with their intentional concealment of those defects, reckless disregard for the sanity and mental health of the Plaintiffs, combined with a malicious intent to deceive and maximize the sale value of the Property at the expense of the Plaintiffs rise to the level of extreme and outrageous." (Complaint, ¶ 90.)

Defendants' alleged conduct is not so extreme to exceed all bounds of that usually tolerated in a civilized community. Plaintiffs' allegations regarding Defendants concealing information is inconsistent with the 2022 reports attached to the Complaint that were signed by Plaintiffs. And Plaintiffs have not pleaded facts establishing that Defendants intended to cause emotional distress by denying knowledge of past or present defects.

Defendants also challenge Plaintiffs' cause of action for intentional infliction of emotional distress on the basis that it insufficiently pleads punitive damages. (Demurrer, p. 20:1-28.) "[A] demurrer cannot rightfully be sustained to part of a cause of action or to a particular type of damage or remedy." (*Kong, supra*, 108 Cal.App.4th at p. 1047.) As such, the court sustains Defendants' demurrer to Plaintiffs' cause of action for intentional infliction of emotional distress solely on the grounds articulated above.

Defendants' demurrer to Plaintiffs' sixth cause of action for intentional infliction of emotional distress is SUSTAINED WITH LEAVE TO AMEND.

I. CONCLUSION

Defendants' demurrer to the Complaint's first, fourth, fifth, and sixth causes of action is SUSTAINED WITH LEAVE TO AMEND. Any amended pleading must be filed and served no later than August 28, 2026.

The court will prepare the order.

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Calendar Line 2

Case Name: Joseph Rostam v. Daniel Gonzales et al.

Case No.: 25CV477783

At issue is Plaintiff Joseph Rostam's demurrer to and motion to strike Defendant Michael Sibilias's answer to the complaint on the grounds that it fails to state facts sufficient to constitute valid defenses, contains boilerplate affirmative defenses, and includes irrelevant, uncertain, and legally insufficient allegations. (Notice at 2:3-4)

Factual Allegations

The initial and still operative complaint alleges that Plaintiff entered into a Residential Purchase Agreement in April 2025 to purchase property at 452 Goodyear Street, San Jose, California, for \$1,022,500. Defendant Michael A. Sibilias acted as the listing agent representing the sellers, Daniel and Virginia Gonzales and Brian and Philana Werness. Plaintiff was represented by Intero Real Estate Services and its agent Payal Kir. (Complaint ¶ 2, Exhibit A.)

The purchase agreement provided that the property would be sold on an "as-is" basis. Plaintiff was given the right to investigate the property. The sellers provided inspection reports, including a property inspection report, pest control report, and roof inspection report, though the home and pest inspection reports did not include the garage. The sellers also provided a transfer disclosure statement and seller property questionnaire. (Complaint ¶ 2, Exhibit A.)

The complaint alleges that Plaintiff discovered concealed material defects after taking possession, including: a cracked and uneven garage floor; foundation failures; deteriorating interior walls; a crooked or sagging roof; and a non-functional pool heater and jacuzzi system. The complaint alleges Plaintiff made multiple written and verbal requests to Defendants and their agent prior to close of escrow to (1) clear debris from the garage to allow complete inspection and (2) to disclose any known issues relating to the garage foundation, roofline, and structural systems. (Complaint ¶ 2.)

Plaintiff filed the Complaint in October 2025, alleging causes of action for: (1) fraudulent concealment, (2) intentional and negligent misrepresentation, (3) violation of California transfer disclosure statutes, (4) breach of contract.

Legal Standards

A demurrer reaches defects appearing on the face of the pleading or matters subject to judicial notice. All properly pleaded facts are accepted as true. A demurrer tests the legal sufficiency of the pleading, not the truth of the allegations or the plaintiff's ability to prove them. (*Saunders v. Superior Court* (1994) 27 Cal.App.4th 832, 837-840.)

The sufficiency of an answer depends on the complaint to which it responds and must be read in conjunction with the complaint. The answer need only minimally advise the opposing party of the nature of the defense, even if conclusory. (*South Shore Land Co. v. Petersen* (1964) 226 Cal.App.2d 725, 733; *FPI Development, Inc. v. Nakashima* (1991) 231 Cal.App.3d 367, 385.)

A demurrer to an answer is limited to failure to state facts sufficient to constitute a

defense, uncertainty, or failure to allege whether a contract is written or oral. (Code Civ. Proc., § 430.20.) Ultimate facts, not evidentiary facts, are required. The answer is liberally construed with reference to the complaint. (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 47; *Hoelzle v. Fresno County* (1958) 159 Cal.App.2d 478, 483.)

Affirmative defenses asserting new matter must be supported by facts, not mere legal conclusions. (*Department of Finance v. City of Merced* (2019) 33 Cal.App.5th 286, 294.) New matter consists of facts independent of the complaint that would bar recovery even if the complaint's allegations are true. (*Walsh v. West Valley Mission Community College Dist.* (1998) 66 Cal.App.4th 1532, 1546.) The critical inquiry is whether the answer raises a defense to the causes of action alleged. (*Timberidge Enterprises, Inc. v. City of Santa Rosa* (1978) 86 Cal.App.3d 873, 880.)

“Any party, within the time allowed to respond to a pleading may serve and file a notice of motion to strike the whole or any part thereof.” (Code Civ. Proc., § 435.) “The court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper: (a) Strike out any irrelevant, false, or improper matter inserted in any pleading; (b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court.” (Code Civ. Proc., § 436.) “The grounds for a motion to strike shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice.” (Code Civ. Proc., § 437, subd. (a).)

Analysis

The answer generally denies each and every allegation and raises twelve affirmative defenses, including failure to state a cause of action, estoppel, waiver, unjust enrichment, assumption of risk, failure to mitigate, comparative negligence, “as-is” sale, and that Plaintiff conducted a complete inspection and relied on his own observations.

Plaintiff contends Defendant's affirmative defenses should be stricken – or alternatively the entire answer should be stricken – because they merely contain boilerplate language without any factual support. More specifically, Plaintiff points to Defendant's waiver, estoppel, laches, unclean hands, and comparative fault affirmative defenses as indicators. (Amended Motion at 3:15-4:4.)

Defendant does not substantively address Plaintiff's arguments. Instead, Defendant discusses unsuccessful efforts to secure Plaintiff's stipulation permitting the filing of an amended answer, and seeks leave to file a proposed amended answer attached to the opposition. (Opposition at 2:15-16.) Based on that implied concession, the demurrer to the answer is sustained. (*Rooney v. Vermont Inv. Corp.* (1973) 10 Cal.3d 351, 366-368; *D.I. Chadbourne v. Superior Court* (1964) 60 Cal.2d 723, 728, fn.4 [where nonmoving party fails to oppose a ground for a motion, “it is assumed that [nonmoving party] concedes” that ground].)

Defendant bears the burden of showing a reasonable possibility that the answer can be amended to state sufficient facts constituting a defense. (*Campbell v. Regents of University of California* (2005) 35 Cal.4th 311, 320.) Defendant's proposed amended answer adds detailed factual allegations regarding the transaction, including: sellers provided inspection reports; the inspection reports did not include the garage; Plaintiff had unhindered access to the property; Plaintiff received advisories informing him of issues requiring investigation; Defendant

conducted a visual inspection and disclosed known conditions; Defendant did not have actual knowledge of the alleged defects; Plaintiff's own broker owed fiduciary duties to investigate the property. Defendant has met the burden of showing a reasonable possibility of amendment. The court will grant leave to amend. The court expresses no opinion on the adequacy of the proposed amended answer because that pleading is not the focus of the instant demurrer and motion to strike.

Conclusion & Order

Plaintiff's demurrer to Defendant Sibilia's answer is SUSTAINED WITH LEAVE TO AMEND. Any amended answer must be filed and served no later than August 28, 2026.

Plaintiff's motion to strike is DENIED AS MOOT.

The court will prepare the order.

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Calendar Line 3

Case Name: K&L Supply Co. v. Yeo Lee

Case No.: 25CV477818

Specially appearing Defendant Yeo Bai Lee moves to quash service of summons on the grounds that the service was defective. (Code. Civ. Proc., § 418.10; unspecified statutory references are to the Code of Civil Procedure; Notice at 2:3-4)

Factual Allegations

The initial and still operative complaint alleges that Defendant borrowed large sums of money from Plaintiff K&L Supply Co. starting in 2019 to pay the costs of litigating against and ultimately settling disputes with his ex-wife. He also used Defendant's corporate credit cards and other company funds to pay for numerous personal expenses. The parties agreed that these amounts would be added to Defendant's total debt to Plaintiff, and that those transactions would be recorded in Plaintiff's business records as an account of Defendant's debts. Over the years, Defendant regularly examined the account of his debts to Plaintiff and never questioned the account or his repayment agreement with Plaintiff. (Complaint ¶¶ 5, 10.)

Defendant is now in a dispute with Christy Ryoo, his adopted daughter and current owner of K&L Supply. In 2025, during negotiations over the sale of properties jointly owned by Christy Ryoo and Defendant, his attorneys proposed that Ryoo's proceeds should be held in escrow pending resolution of the appeal. In response, Ryoo's attorneys agreed to consider this proposal if Defendant would also place his share of the proceeds in escrow to cover his debts to Plaintiff, which by then had grown to \$3,658,630.76. Defendant's attorneys first refused to recognize and then repudiated Defendant's debt to Plaintiff. (Complaint ¶¶ 11-13.)

Plaintiff's October 2025 complaint alleges causes of action for: (1) breach of contract – February 2019 loan, (2) breach of contract – August 2019 loan, (3) breach of contract – 2021 loan for settlement of Hee Ja Lee's claims, (4) repayment of advanced money for personal expenses, and (5) open book account.

Legal Standard

"A defendant, on or before the day of his or her time to plead . . . may serve and file a notice of motion . . . [t]o quash service of summons on the ground of lack of jurisdiction of the court over him or her." (§ 418.10, subd. (a)(1).) By filing such motion, "a defendant makes a special appearance for the narrow purpose of contesting personal jurisdiction where the summons is defective. (*Stancil v. Superior Court* (2021) 11 Cal.5th 381, 393.)

"In the absence of a voluntary submission to the authority of the court, compliance with the statutes governing service of process is essential to establish that court's personal jurisdiction over a defendant." (*Floveyer International, Ltd. v. Superior Court* (1997) 59 Cal.App.4th 789, 793; *see also Calvert v. Al Binali* (2018) 29 Cal.App.5th 954, 961 ["To establish personal jurisdiction, it is essential to comply with the statutory procedures for service of process."].) "When a defendant challenges that jurisdiction by bringing a motion to quash, the burden is on the plaintiff to prove the existence of jurisdiction by proving, *inter alia*, the facts requisite to an effective service." (*Lebel v. Mai* (2012) 210 Cal.App.4th 1154, 1160, internal quotations omitted.)

California Rules of Court, Rule 3.110(b) provides that a summons and complaint must be served on each defendant and a proof of service on each defendant must be filed with the court within 60 days after the complaint is filed. Proof of such service must be made by affidavit of the person making the service “showing the time, place, and manner of service,” and including facts showing service was made in accordance with California law. (§§ 417.10, subd. (a), 417.30.) Proof of personal service must be made on a form adopted by the Judicial Counsel. (§ 417.10, subd. (f).)

Analysis

The motion challenges the validity of substituted service effectuated on October 30, 2025, at MorningStar Assisted Living & Memory Care facility in San Jose, California.

Reasonable Diligence

For an individual defendant, a summons may be served on the defendant or a person authorized by the defendant to receive service of process. (§ 416.90.) If a copy of the summons and complaint cannot with reasonable diligence be personally delivered to the person to be served, substitute or constructive service may be made by leaving a copy of the summons and complaint at the person's dwelling house in the presence of "a competent member of the household or a person apparently in charge of their office, place of business, or usual mailing address." (§ 415.20, subd. (b).) " " "Ordinarily, ... two or three attempts at personal service at a proper place should fully satisfy the requirement of reasonable diligence and allow substituted service to be made." ' ' ' (*Bein v. Brechtel-Jochim Group, Inc.* (1992) 6 Cal.App.4th 1387, 1391-1392 (*Bein*).)

Plaintiff's process servers made three attempts to personally serve Defendant at his residence – the MorningStar facility - on three consecutive days: October 28, 2025, at 5:01 p.m.; October 29, 2025, at 1:07 p.m.; and October 30, 2025, at 12:17 p.m. The process servers were told on the first visit that Defendant was on visitor restriction and could see only immediate family or people his family approves. On the second and third visits, Defendant was not present at the facility. Plaintiff exercised reasonable diligence. (§ 415.20, subd. (b); *American Express Centurion Bank v. Zara*, (2011) 199 Cal.App.4th 383, 389.) Nothing more is required by the Code of Civil Procedure.

Evartt v. Superior Court (1979) 89 Cal.App.3d 795, is distinguishable. There, plaintiff waited until three days before the limitations period expired to serve the defendant even though the evidence showed defendant had been available for service during all but a short period of that time. No such evidence is present here.

Competent Member of the Household or Person Apparently In Charge

Section 415.20, subdivision (b) requires that substituted service be made by leaving the summons and complaint “in the presence of a competent member of the household or a person apparently in charge” who is at least 18 years of age. (§ 415.20, subd. (b).) The person must be one whose relationship with the person to be served makes it more likely than not that they will deliver process to the named party. (*Chinese Theater, LLC v. Starline Tours USA, Inc.*, (2025) 115 Cal. App. 5th 1048, 1058.)

Plaintiff argues that the front desk attendant at MorningStar qualifies as a competent member of the household or person apparently in charge because Defendant or his attorneys authorized the attendant to control access to him and his apartment. Defendant counters that the attendant explicitly disclaimed authority to accept documents on his behalf and cannot be considered a competent member of the household.

The controlling authority is *Bein v. Brechtel-Jochim Group, Inc.*, which determined that a residential gate guard who controls access to a defendant's residence satisfies the competent member of household or person apparently in charge requirement. The *Bein* court reasoned that because defendants authorized the guard to control access to them and their residence, the relationship between the defendants and the guard ensured delivery of process. The court emphasized that litigants do not have the right to control who may sue or serve them by denying physical access. (*Bein, supra*, 6 Cal.App.4th at p. 1393.)

Bein is applicable to the facts here. The MorningStar facility has a staffed front desk that controls access to the building. Defendant resides in the memory care unit, and the facility staff enforce visitor restrictions. The front desk attendant confirmed to the first process server that Defendant was on visitor restriction and could see only immediate family and people his family approves. (Ex. F, Declaration of Due Diligence ¶ 2.) Julia Lee, acting as Defendant's attorney-in-fact, has authority over Defendant's affairs and receives most of his mail. The visitor restriction policy requiring family approval for access to Defendant was necessarily implemented with Julia Lee's authorization or acquiescence, as she exercises control over Defendant's care and communications. (Julia Lee Decl. ¶¶ 5, 6.) By establishing a visitor restriction that required family approval for anyone to see Defendant, Defendant (through his attorney-in-fact) effectively designated the front desk staff as gatekeepers who control access. This relationship makes it more likely than not that documents left with the attendant would reach Defendant or his representatives, satisfying the *Bein* standard.

Defendant argues that the attendant's explicit disclaimer of authority to accept documents distinguishes this case from *Bein*. However, in *Bein* itself, the gate guard threw the summons and complaint on the ground after being handed them. The court nevertheless found service valid because the guard's relationship with the defendants—controlling access to their residence—made delivery of process likely. (*Bein, supra*, 6 Cal.App.4th at pp. 1393-1394.)

Defendant argues service is defective because the facility was not his place of business. Though the process server may have checked the wrong box for "business" instead of "home," defendant does not dispute that the address listed matches the address of the MorningStar facility. That de minimis error is not adequate to find service defective.

Informing Person Served of the Contents of the Document

Section 415.20, subdivision (b) requires that the person with whom the summons and complaint are left "shall be informed of the contents thereof." (§ 415.20, subd. (b).)

The proof of service of summons box 5.b.(1) is checked, indicating service at Defendant's business, which includes pre-printed language stating, "I informed him or her of the general nature of the papers." The proof of service of summons also suggests that the same individual made all three service attempts.

Evidence Code section 647 provides that the return of a registered process server establishes a presumption affecting the burden of producing evidence of the facts stated in the return. Here, registered California process server Celeste Perez signed the proof of service of summons. To rebut this presumption, Defendant must present credible evidence that the facts stated in the proof of service are false. Defendant relies on a declaration by Katreena Borlaza, who was apparently covering the front desk at the facility on October 30. But that declaration is unsigned. The signature line states “signature to follow.” An unsigned declaration is not competent evidence.

In the reply, defendant argues service was faulty because declarations supporting the opposition indicate the first two service attempts were made by someone other than Celeste Perez (the person who signed the proof of service of summons). But that discrepancy does not mean the proof of service of summons is inaccurate as to what occurred on October 30. And defendant provides no competent evidence to rebut the proof of service of summons as to that date.

The service statutes must be “liberally construed to effectuate service and uphold jurisdiction if actual notice has been received by the defendant, ‘ “ ‘and in the last analysis the question of service should be resolved by considering each situation from a practical standpoint.’ ” ’ ” (Bein, *supra*, 6 Cal.App.4th at p. 1392.) Reviewing the circumstances of Defendant’s service, the court concludes Defendant’s evidence does not conclusively rebut the statement in the proof of service of summons that the person served was informed of the general nature of the papers. And it is undisputed that defendant received actual notice of this lawsuit.

Proof of Mailing

Section 415.20, subdivision (b) requires that after leaving the summons and complaint with an appropriate person, the server must mail copies to the person to be served at the place where the documents were left. Service is deemed complete on the 10th day after mailing. (§ 415.20, subd. (b).)

The proof of mailing indicates that copies of the summons and complaint were mailed on October 31, 2025, to Defendant at 1380 S. De Anza Blvd., San Jose, CA 95129, which is the MorningStar facility address. That satisfies the mailing requirement.

Conclusion

Defendant’s motion to quash service of summons is DENIED. Defendant must file and serve a responsive pleading no later than August 28, 2026.

The court will prepare the order.

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